EQUITY RESEARCH REPORT

Hindustan Aeronautics Limited

India's Order-Book Giant, Priced For Perfect Conversion

Rating	**HOLD (Neutral)**	CMP (9-Oct-2026)	**₹4,656**
12-Month Target Price	**₹4,150**	Upside / (Downside)	**(10.9%)**
Market Cap	**₹3.11 lakh Cr**	52-Week Range	**₹3,479 – ₹5,150**
Sector	**Capital Goods — Aerospace & Defence**	NSE / BSE	**HAL / 541154**

The Question This Report Answers

HAL has a ₹2,54,538 Cr order book — 7.7x its FY26 revenue — and operates in a defence budget that rose 15% this year with 75% of capital acquisition earmarked for domestic industry. The franchise is not in doubt. The price is the question. A cash-flow DCF values the stock 48% *below* today's price; peer multiples value it 9% *above*; and the discount rate the market is implicitly using is 8.3% — barely above the 7% government bond yield. This report investigates that gap instead of averaging it away.

The Finding

+0.4%
EBITDA growth, FY24→FY26. Net profit grew 19.6% over the same two years.

31%
of FY26 PBT is other income (interest on customer-advance deposits); 43% in Q1 FY27.

0
Tejas Mk1A fighters formally delivered so far; 14 GE F404 engines received vs 24 due this fiscal.

Profit is compounding faster than the business. The operating engine — EBITDA — has been flat for three years, while treasury income on money the customer pre-paid has almost doubled. That income is real, but it is float, not franchise, and the stock is priced as if both were franchise.

Snapshot

₹ Cr unless stated	FY24	FY25	FY26	FY27E	FY28E
Revenue	30,381	30,981	33,089	36,729	41,504
EBITDA margin	32.1%	31.1%	29.6%	29.5%	30.0%
Net profit	7,621	8,364	9,116	9,889	11,096
EPS (₹)	113.96	125.07	136.30	147.86	165.92
Other income % of PBT	19%	24%	31%	30%	28%
ROE (avg. net worth)	28.9%	26.1%	24.0%	–	–
Free cash flow	6,476	11,890	8,438	–	–
P/E at CMP (x)	40.9	37.2	34.2	31.5	28.1

Investment Thesis

Hindustan Aeronautics is the only Indian manufacturer of military aircraft and helicopters at scale, and it enters FY27 with the largest order book in its history (₹2,54,538 Cr, of which ₹97,028 Cr was won in FY26). At ₹4,656 the market is paying 34x FY26 EPS, 27x FY26 EV/EBITDA and 7.6x book for that franchise. On our cash-flow model, justifying the price at an 11.75% cost of equity would need roughly 20% revenue growth every year for a decade; we model 9.4%.

Two features of the numbers make that bar harder than the headline suggests. First, earnings quality. Between FY24 and FY26, EBITDA moved from ₹9,752 Cr to ₹9,788 Cr while net profit rose from ₹7,621 Cr to ₹9,116 Cr. The difference is other income, which climbed from ₹1,923 Cr to ₹3,743 Cr and is now 31% of pre-tax profit (43% in Q1 FY27). Strip it out and the stock trades at 49x core earnings. Second, conversion. FY26 operating cash flow fell 20% and free cash flow fell 29% while profit rose 9%; inventory days reached 859 and the cash cycle 788. HAL's ₹42,425 Cr of bank deposits sits almost exactly against ₹44,689 Cr of non-current customer advances: it is largely the customer's money, waiting to be turned into aircraft that are not yet being delivered.

Delivery is the bottleneck, not demand. HAL has built roughly 27–30 Tejas Mk1A airframes but has not formally handed one to the Air Force; GE's F404 engine supply (14 delivered to date against a commitment of 24 this fiscal and 30 a year from FY28) gates revenue. Q1 FY27 revenue grew a healthy 14%, but the EBITDA margin was 27.7% against FY27 guidance of 30–31%.

Valuation lenses disagree sharply. A 10-year DCF gives ₹2,435, (48%) vs CMP,; relative valuation against defence-PSU peers gives ₹5,056 (+9%). A 20,000-path Monte Carlo puts the probability of a DCF value above today's price at effectively zero (3 paths in 20,000). We weight the two methods 50/50, because the DCF is highly sensitive to the discount rate while the comps are partly circular (peers are equally richly priced), then roll the blended value forward 12 months at cost of equity less dividend yield. The result is a target of **₹4,150, (10.9%) vs CMP,** and a **HOLD** rating: the long-run story is investable, but at this price the market has pre-paid a smooth FY27–FY29 delivery ramp that the FY26 numbers do not yet confirm.

Company Overview

Hindustan Aeronautics Limited is a Bengaluru-headquartered Maharatna central public-sector enterprise, listed on the NSE/BSE in 2018. It designs, builds, upgrades and overhauls aircraft, helicopters, aero-engines, avionics and aerostructures, almost entirely for the Indian armed forces. Its portfolio spans the Tejas light combat aircraft, Su-30MKI, Dornier-228 and HTT-40 trainer; the Dhruv/ALH, Prachand LCH, LUH and Chetak/Cheetah helicopters; AL-31FP, RD-33 and Shakti engines; and avionics and accessories. Repair, overhaul and service (ROH) is the stabiliser: ₹20,524 Cr in FY26, roughly three-fifths of revenue. Exports were ₹501 Cr (+25%), R&D ₹2,794 Cr (8.4% of revenue) and capex ₹2,386 Cr.

The Government of India holds 71.64% (unchanged since FY23). Foreign institutions have trimmed from 12.9% (Dec-2023) to 9.3% (Jun-2026) while domestic institutions rose from 8.1% (Dec-2024) to 11.9%; about 12 lakh retail accounts hold the stock. The balance sheet is effectively debt-free (₹66 Cr borrowings against ₹41,041 Cr net worth). Leadership is in transition: Ravi Kota is CMD, the Executive Director (Finance) retired on 30 September 2026 and a new government nominee director joined on 7 October.

Metric	FY24	FY25	FY26
Revenue (₹ Cr)	30,381	30,981	33,089
EBITDA margin	32.1%	31.1%	29.6%
Net profit (₹ Cr)	7,621	8,364	9,116
EPS (₹, post-split)	113.96	125.07	136.30
ROE (avg. net worth)	28.9%	26.1%	24.0%
Free cash flow (₹ Cr)	6,476	11,890	8,438
Order book (₹ Cr)	~94,000	1,89,302	2,54,538

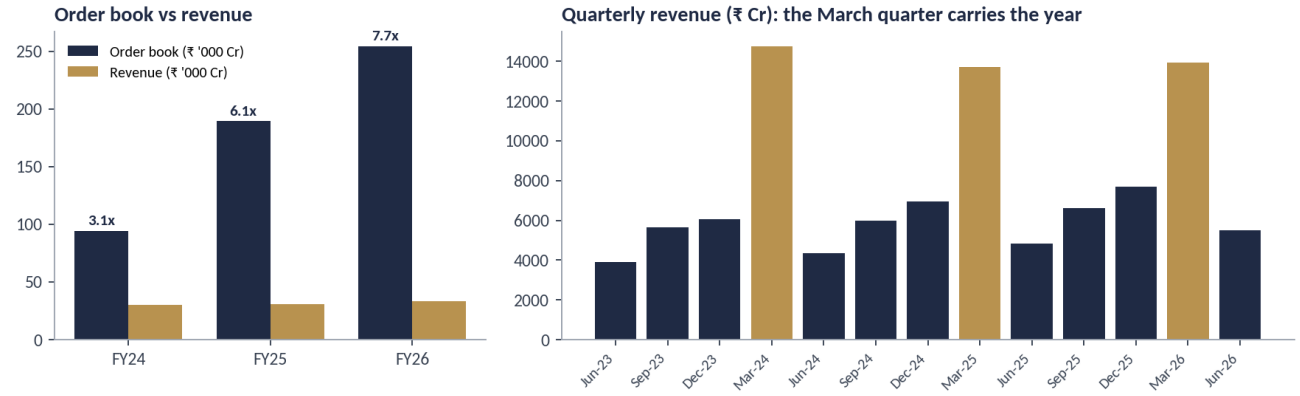
Industry Overview

Indian defence is in a rare position: demand is funded, policy is supportive and the binding constraint is production throughput. The FY27 Union Budget allocated ₹7.85 lakh Cr to defence (+15.2%), with capital outlay of ₹2.19 lakh Cr (+21.8%) and about 75% of capital acquisition — ₹1.39 lakh Cr — reserved for domestic industry. Domestic defence production hit a record ₹1.8 lakh Cr in FY26 (+15.6%, ~18% CAGR since FY21), exports rose about 63% to roughly ₹38,000 Cr, and 3,025 of 5,012 notified items have been indigenised.

Indicator	Value	Change / note
Defence budget FY27 (BE)	₹7.85 lakh Cr	+15.2% YoY; 14.7% of central spending
Capital outlay FY27 (BE)	₹2.19 lakh Cr	+21.8% YoY; ~28% of defence budget
Domestic-industry procurement	₹1.39 lakh Cr	~75% of capital acquisition
Defence production FY26	₹1.8 lakh Cr	+15.6% YoY; private sector ~24%
Defence exports FY26	~₹38,000 Cr	~+63% YoY

Where HAL sits. HAL is the system integrator for India's fighter, trainer and utility-helicopter fleets and the overhaul base for most of the legacy fleet, which is why ROH gives it revenue that is less dependent on new-production timelines. Its order book more than doubled in FY25 and grew another 34% in FY26, anchored by 156 Prachand LCH helicopters and the follow-on 97 Tejas Mk1A (83 + 97 = 180 aircraft, about ₹1.1 trillion). Management expects around ₹90,000 Cr of fresh orders over FY27–FY28, including 140 ALH, 40 Dornier and ROH contracts.

The sector is not a free ride. Order books convert unevenly: Bharat Dynamics' trailing revenue is down 19% despite a large backlog, Bharat Electronics guides to 15% growth, and HAL's own revenue compounded at only 7.8% over the last five years even as profit grew far faster. For HAL, the issue is a single-source dependency — the GE F404 engine — on which both the first Tejas Mk1A deliveries and the margin recovery to 30–31% depend. Nomura-style estimates of 6, 16 and 20 Tejas deliveries in FY27, FY28 and FY29 illustrate the shape of the ramp that is already in the consensus.

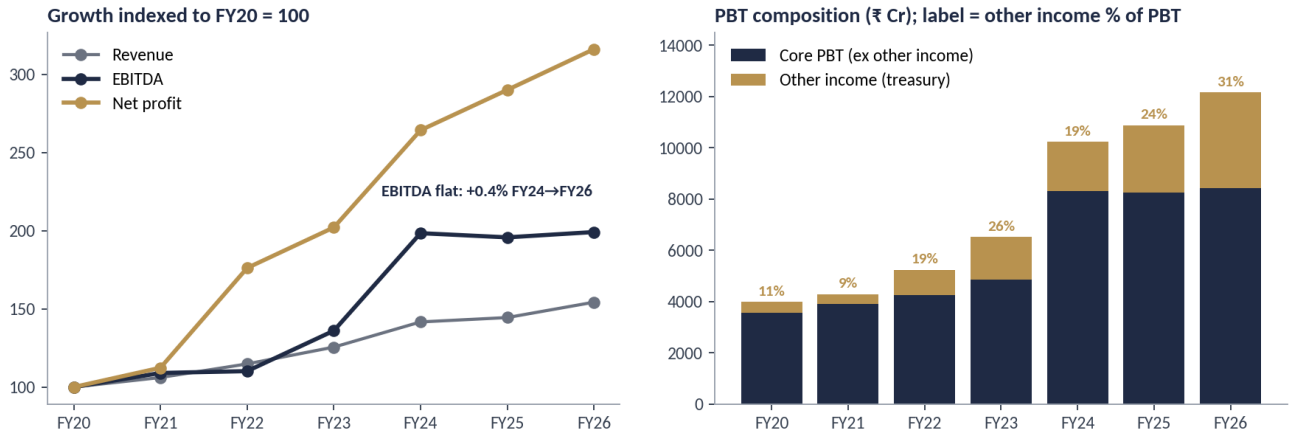


Order book vs revenue, and quarterly revenue seasonality (consolidated, ₹ Cr). The March quarter generated 42% of FY26 revenue and 46% of FY26 profit.

Peers. Bharat Electronics (order book ₹72,258 Cr, FY27 guide: +15% revenue, 28% EBITDA margin), Mazagon Dock (Q1 FY27 PAT +21.5%), Cochin Shipyard, Garden Reach and Bharat Dynamics are the listed comparables. None is a like-for-like aircraft maker, and all trade at premium multiples (29x–76x trailing earnings) — which is why this report treats peer multiples as a cross-check rather than the anchor.

Financial Analysis Summary

HAL's FY20–FY26 history contains two trends that this report keeps separate rather than netting against each other: a genuine rise in operating scale and margin (EBITDA margin 22.9% → 29.6%, peaking at 32.1% in FY24), and a profit line that has run well ahead of the operations because of treasury income.

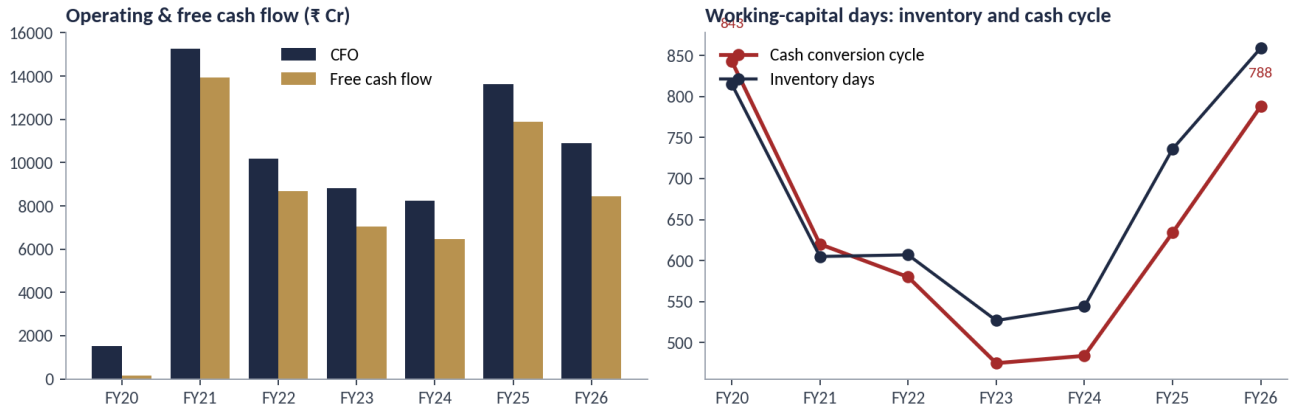


Left: revenue, EBITDA and net profit indexed to FY20. Right: pre-tax profit split between core operations and other income.

Revenue grew 6.8% in FY26 and EBITDA 1.7%; net profit grew 9.0%. Other income grew 44% (₹2,608 Cr → ₹3,743 Cr), and supplied ₹1,135 Cr of the ₹1,285 Cr (88%) rise in FY26 pre-tax profit. FY26 profit also benefited by about ₹95 Cr from a change in offset-credit accounting, and carried a one-off ₹327 Cr employee-cost liability — small items, but they show how thin the operating line is.

Cash-quality indicator	FY24	FY25	FY26
CFO / EBITDA	84%	142%	111%
Free cash flow (₹ Cr)	6,476	11,890	8,438
Inventory days	544	736	859
Cash conversion cycle (days)	484	634	788
Other income % of PBT	19%	24%	31%
Debt / equity (x)	0.00x	0.00x	0.00x

CFO/EBITDA is recomputed from reported CFO and EBITDA; Screener's CFO/operating-profit ratio uses a different operating-profit base (179% FY25, 142% FY26) and shows the same decline.



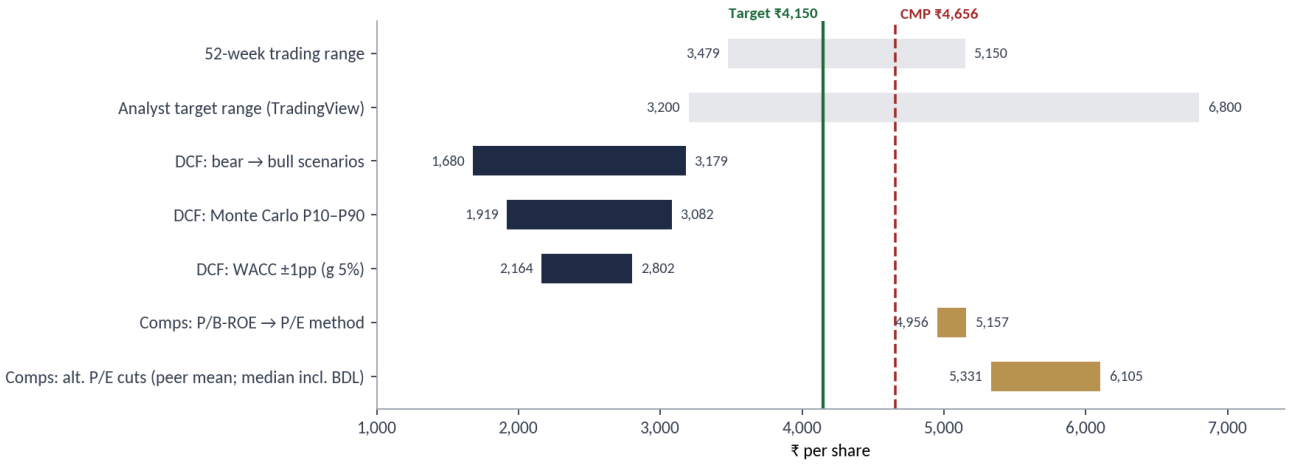
Operating and free cash flow (₹ Cr), and working-capital days.

The cash story needs careful reading. HAL's CFO has averaged more than ₹10,000 Cr a year since FY22, but a large part is customer advances: non-current liabilities rose 80% to ₹44,689 Cr in FY26 while inventories rose 42% to ₹30,851 Cr and bank deposits rose 26% to ₹42,425 Cr (standalone). Cash conversion looks superb while advances keep arriving ahead of delivery; it would look very different if deliveries ran ahead of new advances. That is why our DCF excludes treasury income from free cash flow and credits only part of the deposits in the equity bridge.

Valuation & Price Target

This report triangulates three independent lenses, all built in the accompanying model package (DCF and comps in the Excel workbook; the Monte Carlo in the Python script).

Methodology	Value / share (₹)	vs CMP ₹4,656	Weight applied
DCF — base case (WACC 11.75%, g 5.0%)	2,435	(47.7%)	50%
Comps — avg. of peer P/E and ROE-adjusted P/B	5,056	+8.6%	50%
of which peer median P/E (37.0x) × TTM EPS	5,157	+10.8%	–
of which ROE-adjusted P/B	4,956	+6.4%	–
Monte Carlo DCF — median of 20,000 sims	2,448	(47.4%)	cross-check
Blended fair value today	**3,746**	**(19.5%)**	**100%**
12-month target (× 1.108 = 1 + Ke − dividend yield)	**4,150**	**(10.9%)**	**TARGET**



Valuation football field (₹ per share). Dark = DCF ranges, gold = relative valuation, grey = market reference points.

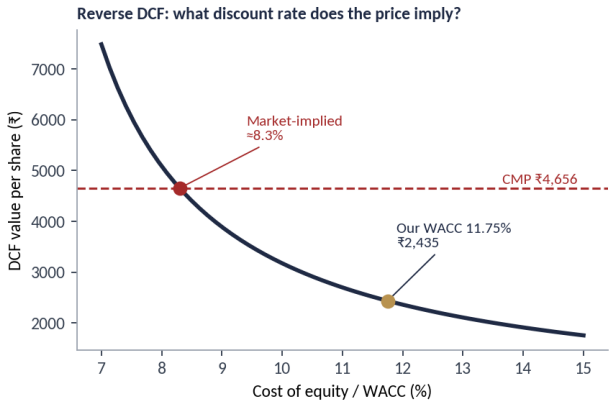
Why 50/50

- **The DCF is the only method anchored in cash flows, but it is extremely rate-sensitive.** Terminal value is 59% of enterprise value, and a ±1pp change in WACC moves value by roughly +15% / −11%. The market-implied cost of equity is 8.3% against our 11.75%.
- **The comps are thin and partly circular.** Four clean peers (BDL excluded as an outlier on depressed earnings), all trading at 29x–50x; if the sector is richly priced, the comps simply restate that.
- **Neither lens captures HAL-specific float economics cleanly.** Treasury income on customer advances is real but ownership of the cash is not — hence the 50% cash credit, itself a judgement (₹2,083 at 0% to ₹2,787 at 100%).
- **The rating is sensitive to the weight, and we say so.** At 0% DCF weight the 12-month target is ₹5,600 (BUY); at 65% it is ₹3,710 (REDUCE); at 100% ₹2,700. 50/50 is this report's considered view, not the only defensible one.

Rating bands: BUY if 12-month upside ≥ +15%; REDUCE if ≤ −15%; HOLD otherwise. These were fixed before the weights were applied.

What the Price Implies, and How Robust the DCF Is

The DCF projects FY27E–FY36E free cash flow to the firm: revenue growth of 11–13% for FY27–FY29 fading to 6% by FY36 (a 9.4% ten-year CAGR), EBITDA margin of 29.5% in FY27E and 30% thereafter (below the 30–31% guided), capex of 7.5% of revenue fading to 5.5%, working-capital drag of 10% of incremental revenue and 25% tax. Treasury income is excluded from FCFF. Enterprise value is ₹131,457 Cr; adding 50% of ₹44,339 Cr of deposits and investments and deducting ₹66 Cr of debt gives equity of ₹153,561 Cr at 31-Mar-2026, or ₹2,296 per share, rolled forward 193 days at the cost of equity to ₹2,435.



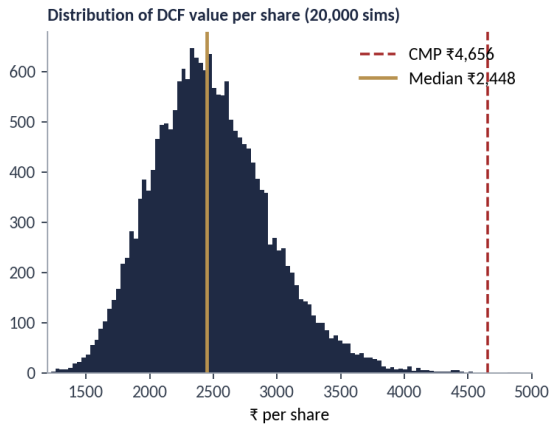
To justify ₹4,656 you would need... (all else at base)	Needed	Base
Cost of equity	8.30%	11.75%
Terminal growth rate (at 11.75%)	9.26%	5.00%
10-year revenue CAGR (at 11.75%)	19.9%	9.4%
Steady-state EBITDA margin (at 11.75%)	54.2%	30.0%

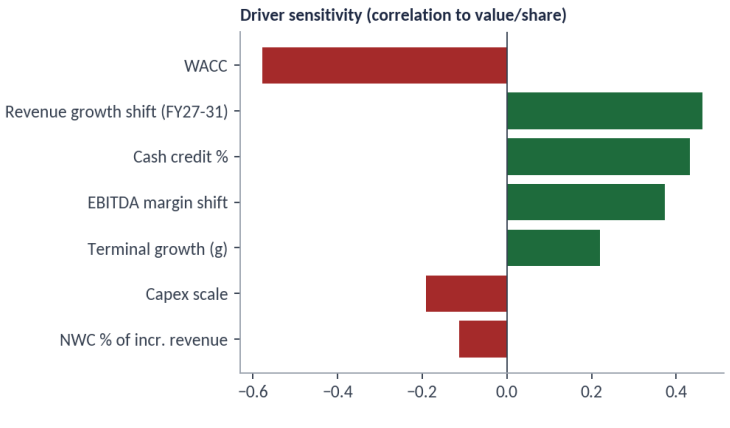
The market-implied cost of equity of 8.3% is just 1.4pp above the 7.0% sovereign yield at our 0.95 beta, versus 5.0pp in our model. Either the market is pricing HAL as a near-sovereign annuity, or the cash flows we model are too low. Even the bull case below does not close the gap.

Scenario (DCF)	Growth FY27–31	EBITDA margin	WACC	Cash credit	₹ / share	vs CMP
Bear	-4pp	-2pp	+0.5pp	25%	1,680	(63.9%)
Base	+0pp	+0pp	+0.0pp	50%	2,435	(47.7%)
Bull	+3pp	+1pp	-0.5pp	75%	3,179	(31.7%)

Stress-testing it: 20,000-path Monte Carlo

Every key DCF input — growth, margin, capex, working capital, WACC, terminal growth and the cash credit — was randomised 20,000 times. Median value is ₹2,448; the 5th–95th percentile range is ₹1,788–₹3,299. Only 3 of 20,000 paths exceed today's price, and about 13% exceed ₹3,000. WACC is the largest single driver of uncertainty, followed by revenue growth and the cash credit.





Distribution of intrinsic value per share and driver sensitivity ranking (hal_monte_carlo.py, seed 42).

Catalysts (Upside Risks to the HOLD Rating)

- **First Tejas Mk1A handovers and a visible engine ramp.** Management guided to Aug–Sep 2026 and ~16–20 aircraft in FY27; GE has shipped 14 engines and committed 24 for FY27 and 30 a year from FY28. Evidence of two or more engines a month would validate the FY28–FY29 revenue ramp.
- **Margin recovery to the 30–31% guided range.** Q1 FY27 EBITDA margin was 27.7%; a return to guidance with Tejas mix would lift our FY28E EPS (₹166) toward the bull case.
- **Order inflow conversion.** ~₹90,000 Cr of expected FY27–FY28 orders (140 ALH, 40 Dornier, Su-30 upgrade and ROH) would extend visibility and top up customer advances.
- **Defence budget execution and indigenisation policy.** A 21.8% capital-outlay increase with 75% earmarked for domestic industry supports order flow regardless of company-specific timing.
- **Higher-for-longer rates.** The 10-year yield is near 7.0–7.2% with rate-hike expectations; a higher yield on ~₹44,000 Cr of deposits sustains the treasury income that currently supports earnings.

Risks (Downside Risks to the HOLD Rating)

- **Further Tejas Mk1A slippage or quality-control issues.** HAL has already levied liquidated damages on GE; any delivery shortfall by March 2027 would miss FY27 guidance of 10–12% revenue growth.
- **Earnings-quality unwind.** Treasury income is 31% of FY26 PBT. If advances stop growing faster than deliveries, or rates fall, other income shrinks while the stock is priced on total earnings.
- **Customer-advance unwind.** Deposits of ₹42,425 Cr are matched by ₹44,689 Cr of non-current advances. If deliveries outpace new orders, reported cash conversion would reverse sharply.
- **Valuation de-rating.** At 33x trailing earnings and 27x EBITDA, the stock needs flawless execution; the market-implied 8.3% cost of equity leaves little margin for disappointment.
- **Single-customer and policy risk.** The Ministry of Defence is effectively the only buyer; pricing, payment timing and procurement-policy shifts are concentrated.
- **Supply of government stock.** The Government of India owns 71.64%; any offer-for-sale would add supply.
- **Accounting and governance items.** Legacy JV stress in the consolidated notes, the offset-credit accounting change, and senior-management turnover (new CMD; Finance director retired).

> **Not modelled:** the engine-localisation opportunity (Shakti engine), HTT-40 and export upside beyond FY27, and any segment-level build. These are optionality, not base-case assumptions.

Recommendation

HOLD (Neutral), 12-month target price ₹4,150, (10.9%) vs CMP ₹4,656.

HAL is the dominant platform in a structurally supported sector, and nothing in this report disputes the long-run order-book story. But the FY26 results that sit under the stock contain two specific, disclosed and so-far unresolved facts: operating profit has gone nowhere for three years while treasury income carried the bottom line, and cash conversion — which looks excellent — is substantially customer-funded. At 33x earnings and a market-implied 8.3% cost of equity, the price already assumes that the Tejas ramp arrives on time and that margins return to guidance. Our rating is HOLD rather than REDUCE because relative valuation against equally richly-priced peers still points above the current price, and because the franchise's visibility is genuinely high.

What would change the rating

- **Upgrade toward BUY** if (1) Tejas Mk1A deliveries begin and at least ~16 aircraft are on track for FY27–1H FY28; (2) EBITDA margin returns to ≥30% outside the March quarter; or (3) core (ex-other-income) PBT grows >10% year on year. Mechanically, on unchanged numbers the target implies >15% upside below about ₹3,609.
- **Downgrade toward REDUCE** if Q2/Q3 FY27 show another quarter below 28% EBITDA margin, if first deliveries slip past March 2027, or if deposits start falling faster than advances. On unchanged numbers the target implies >15% downside above about ₹4,882.

Limitations

The model is consolidated and not built bottom-up by programme; peer multiples come from public aggregators and may differ slightly from exchange data; there are only four clean comparables; Monte Carlo and scenario outputs are static snapshots from Python; and the cash credit and DCF/comps weights are explicit judgements whose full ranges are shown rather than hidden. FY26 consolidated revenue is ₹33,089 Cr on Screener's basis versus ₹33,050 Cr in HAL's call material.

> This report is prepared for educational / portfolio purposes as part of an independent equity research project and does not constitute investment advice.

Appendix

A1. DCF Sensitivity Grid (₹/share, today)

WACC g	3.0%	4.0%	5.0%	6.0%	7.0%
9.75%	2,693	2,954	3,325	3,894	4,878
10.75%	2,379	2,559	2,802	3,147	3,677
11.75% (base)	**2,138**	**2,267**	**2,435**	**2,661**	**2,983**
12.75%	1,947	2,043	2,164	2,320	2,531
13.75%	1,794	1,866	1,956	2,068	2,214

A2. Monte Carlo Percentile Distribution (₹/share)

P5	P10	P25	P50 (Median)	P75	P90	P95
1,788	1,919	2,157	2,448	2,767	3,082	3,299

A3. Peer Comparison (trailing, early Oct 2026)

Company	Mkt cap (₹ Cr)	P/E (x)	P/B (x)	ROE	Net margin
Bharat Electronics (BEL)	269,110	43.8	11.2	27.4%	21.4%
Mazagon Dock (MAZDOCK)	83,453	29.2	8.1	30.6%	18.6%
Garden Reach (GRSE)	24,168	30.2	8.6	32.5%	10.3%
Cochin Shipyard (CSL)	33,897	49.8	5.6	11.8%	12.4%
Bharat Dynamics (excl., outlier)	39,308	75.5	9.3	10.2%	18.8%
Median (included peers)		**37.0**	**8.3**	**29.0%**	**15.5%**
HAL (at CMP)	**311,367**	**33.4**	**7.6**	**24.0%**	**27.6%**

A4. Forecast Summary (base case, ₹ Cr)

₹ Cr	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	33,089	36,729	41,504	46,899	52,058	57,264
EBITDA	9,788	10,835	12,451	14,070	15,617	17,179
FCFF	–	5,393	6,184	7,222	8,360	9,529
Net profit	9,116	9,889	11,096	12,294	13,453	14,629
EPS (₹)	136.3	147.9	165.9	183.8	201.2	218.7
P/E at CMP (x)	34.2	31.5	28.1	25.3	23.1	21.3

A5. Sources & Related Deliverables

- Financials, ratios and shareholding: Screener.in consolidated statements (company filings), retrieved 10-Oct-2026. Price: NSE close 9-Oct-2026. Q1 FY27 results: HAL filing of 12-Aug-2026.
- Order book, guidance, capex, R&D, exports: HAL Q4 FY26 earnings call (May 2026) and Q1 FY27 coverage. Customer advances and deposits: FY26 annual-report analysis (standalone).
- Tejas Mk1A / GE F404 status: HAL management comments and GE Aerospace statement (Sept 2026). Budget and production data: PIB and industry reports. 10Y G-Sec: Trading Economics. Peers: Screener.in, Value Research.
- **Part I — Excel model (HAL_Model.xlsx):** historical statements, assumptions, forecast, live DCF with sensitivities, comps and valuation. **Part II — Python (hal_monte_carlo.py):** 20,000-path Monte Carlo.